

National Summary

Overall Economic Activity

Overall economic activity rose slightly since mid-January. Six Districts reported no change, four reported modest or moderate growth, and two noted slight contractions. Consumer spending was lower on balance, with reports of solid demand for essential goods mixed with increased price sensitivity for discretionary items, particularly among lower-income shoppers. Unusual weather conditions in some regions over recent weeks weakened demand for leisure and hospitality services. Vehicle sales were modestly lower on balance. Manufacturing activity exhibited slight to modest increases across a majority of Districts. Contacts in manufacturing, ranging from petrochemical products to office equipment, expressed concerns over the potential impact of looming trade policy changes. Banking activity was slightly higher on balance among Districts that reported on it. Residential real estate markets were mixed, and reports pointed to ongoing inventory constraints. Construction activity declined modestly for both residential and nonresidential units. Some contacts in the sector also expressed nervousness around the impact of potential tariffs on the price of lumber and other materials. Agricultural conditions deteriorated some among reporting Districts. Overall expectations for economic activity over the coming months were slightly optimistic.

Labor Markets

Employment nudged slightly higher on balance, with four Districts reporting a slight increase, seven reporting no change, and one reporting a slight decline. Multiple Districts cited job growth in health care and finance, while employment declines were reported in manufacturing and information technology. Labor availability improved for many sectors and Districts, though there were occasional reports of a tight labor market in targeted sectors or occupations. Contacts in multiple Districts said rising uncertainty over immigration and other matters was influencing current and future labor demand. Wages grew at a modest-to-moderate pace, which was slightly slower than the previous report, with several Districts noting that wage pressures were easing.

Note: This report was prepared at the Federal Reserve Bank of Minneapolis based on information collected on or before February 24, 2025. This document summarizes comments received from contacts outside the Federal Reserve System and is not a commentary on the views of Federal Reserve officials.

Prices

Prices increased moderately in most Districts, but several Districts reported an uptick in the pace of increase relative to the previous reporting period. Input price pressures were generally greater than sales price pressures, particularly in manufacturing and construction. Many Districts noted that higher prices for eggs and other food ingredients were impacting food processors and restaurants. Reports of substantial increases in insurance and freight transportation costs were also widespread. Firms in multiple Districts noted difficulty passing input costs on to customers. However, contacts in most Districts expected potential tariffs on inputs would lead them to raise prices, with isolated reports of firms raising prices preemptively.

Highlights by Federal Reserve District

Boston

Economic activity increased slowly, boosted by a surge in home sales. Prices increased modestly on average, but contacts perceived that upward pressure on prices could emerge in response to tariffs. Employment declined slightly, and wages increased modestly. Expectations were mostly optimistic but marked by growing uncertainty.

New York

Regional economic activity was little changed in early 2025. Employment grew slightly and wage growth was moderate, with labor supply and labor demand coming back into balance. Selling price increases picked up to a moderate pace after some slowing last period. Many businesses noted heightened economic uncertainty and expressed concern about tariffs.

Philadelphia

Business activity declined slightly during the current Beige Book period after a slight increase last period. Employment continued to grow slightly; wages and prices grew modestly. Contacts noted that changes in fiscal and trade policies pose a risk of higher inflation. Generally, sentiment fell, but firms remain optimistic about future growth amid economic uncertainty.

Cleveland

District business activity was flat in recent weeks, although contacts expected activity to increase in the months ahead. Consumer spending was down, and some contacts noted declining consumer confidence. Employment levels remained flat. Contact reports suggest that nonlabor input costs edged up, while reported price increases continued to be modest.